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China Economics

Austerity Now, Acceleration Later?

CITI'S TAKE

An underappreciated driver of the sharp 26Q2 slowdown is a *de facto* fiscal austerity. Central and local governments are each contributing, but through distinct channels: the central government has collected larger-than-usual revenues even while running ahead of the pace observed in recent years in expenditures; local governments are pressured by falling land sales, debt constraints, and a lack of high-quality projects, limiting their ability and willingness to stimulate via traditional means. Our base case is for this austerity to reverse in 26H2 as fiscal deployment accelerates, driving a mild rebound. We don't expect a mid-year budget revision; instead, long-term fiscal reforms addressing central-local imbalances and redistribution issues in the AI era are the key themes to watch.

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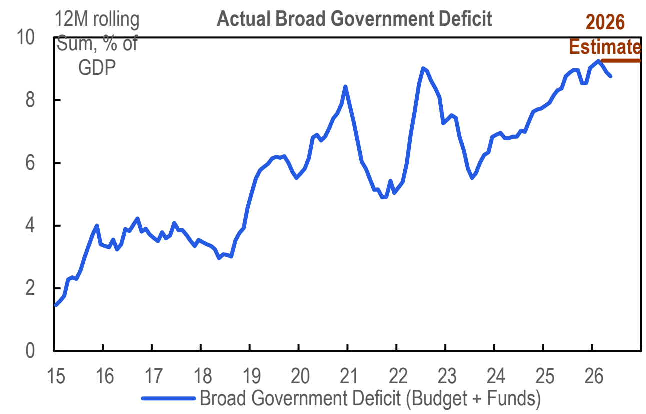
An underappreciated driver of the sharp 26Q2 slowdown is a *de facto* fiscal austerity. FAI growth slumped -5.7%YoY in Mar-May amid flattish subsidies for "two key projects" (两重) and equipment upgrades. Retail sales growth turning negative at -0.6%YoY in May is partly attributable to the scale-back of the trade-in scheme and delays in fund disbursement. At the aggregate level, the broad fiscal deficit (general budget + government funds)[1] was 2.2% of GDP in Jan-May, below the 2.4% recorded a year earlier. On a 12-month rolling basis, the deficit has narrowed to 8.8% of GDP in May from 9.0% at end-2025. **Central and local governments are each contributing to this austerity, but through distinct channels:**

- **Central government austerity is a less obvious but a meaningful contributor – driven by revenue outperformance rather than spending restraint.** Broad central government spending is running ahead of the run-rate seen in recent years, reaching a five-year high of 33.3% of the annual budget by May and growing a solid 10.1%YoY in Jan-May. The tightening has stemmed entirely from the revenue side. A combination of PPI reflation and stricter tax collection, particularly for Personal Income Tax (PIT, up 12.2% YoY in Jan-May), has bolstered tax receipts and resulted in a central surplus larger than last year.

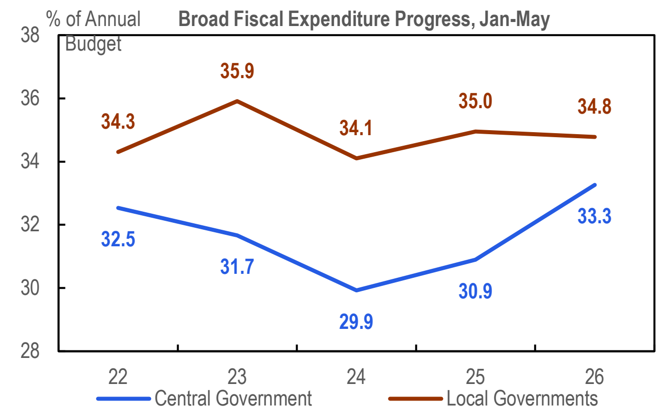
- **Local governments are the main and more visible source of fiscal drag – pressured on both revenue and spending sides.** In contrast to the central government, broad local government spending contracted -1.7%YoY in the first five months, and the spending progress decelerated to 34.8% of the annual budget compared with 35.0% in the same period of 2025. On the revenue side, pressure from the property downturn persists, with broad local government revenue down -2.4%YoY; slumping land sales alone created a drag of -4.6ppts. Meanwhile, local government financing was sluggish, with special LGB issuance slowing in 26Q2 and net LGFV bond financing remaining negative.

Figure 1. Broad fiscal deficit declined in Jan-May in a *de facto* austerity



Source: MoF, NBS, NPC, CEIC, Citi Research

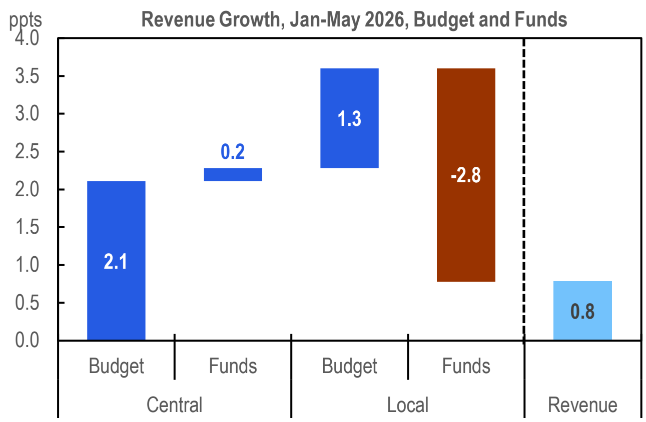
Figure 2. Central government spending is running ahead of recent years while local government spending is lagging



Source: MoF, Wind, Citi Research

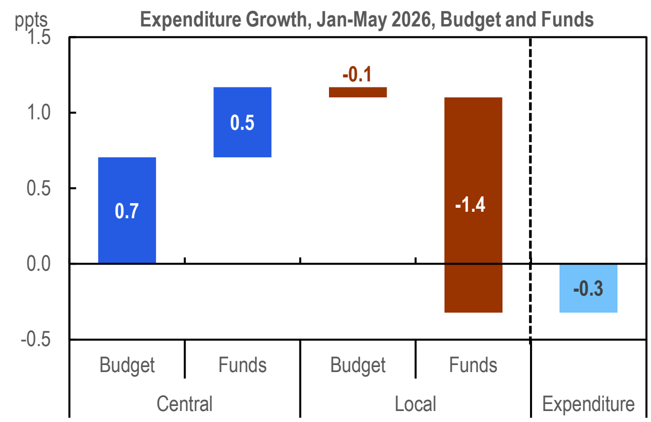
[1] China's fiscal budget is composed of four separate but related books: **[1]** General budget (RMB21.6trn of revenue and RMB28.8trn of expenditure in 2025) covers most fiscal revenue and expenditure; **[2]** Government funds (RMB5.8trn of revenue and RMB11.3trn of expenditure) manage land sales and special government bonds; **[3]** SOE funds (RMB0.9trn of revenue and RMB0.3trn of expenditure); and **[4]** Social Security Funds (RMB12.6trn of revenue and RMB11.1trn of expenditure). The NPC approves budgets for all the four books in March every year. We combine general budget (the 1st book) and government funds (the 2nd book) and refer to it as broad government in this note.

Figure 3. Local governments remain under pressure amid the property downturn on both revenue...



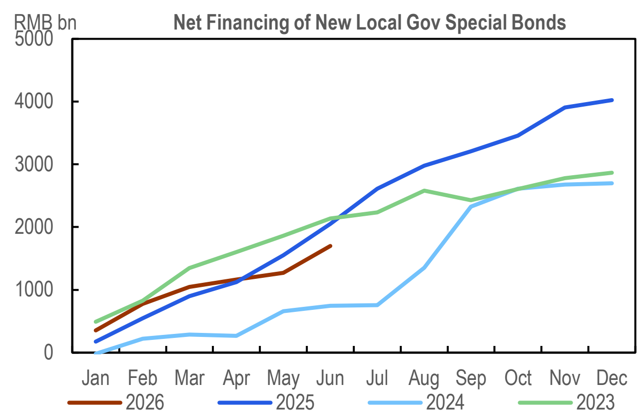
Source: MoF, Wind, Citi Research

Figure 4. ... and expenditure sides



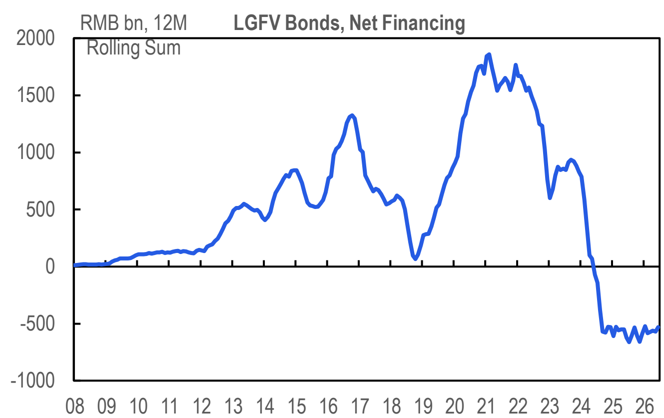
Source: MoF, Wind, Citi Research

Figure 5. Special LGB financing has been lagging in 26H1, likely out of prudence



Source: Wind, Citi Research

Figure 6. Net LGFV bond financing is deeply negative amid debt resolution



Source: Wind, Citi Research

Structural Local Fiscal Stress

Despite the "more proactive" fiscal stance pledged at the CEWC since end-2024, local officials appear constrained in both the ability and willingness to stimulate the economy the old way.

Ability to Stimulate

Local governments are operating with tight budgets:

- **The revenue rebound this year has disproportionately benefited the central government.** Under the tax-sharing system, the central government retains a 60% share of PIT, which rebounded 12.2%YoY Ytd. It was also the primary beneficiary of strong import-related VAT and consumption taxes (+10.4%YoY Ytd), a surge in securities transaction duties (+88.9%YoY Ytd), and the phase-out of the auto-purchase tax cut and export VAT rebates.

- **The property downturn continues to weigh heavily on local government revenues.** For the general budget, property-related budgetary taxes – including property tax, deed tax, land VAT and others – contracted -4.5%YoY in Jan–May.

For government funds, land sales revenue fell even more sharply, down -28.7%YoY, with the rolling 12-month sales value now at only RMB3.8trn. Local government fiscal self-sufficiency remains depressed as a result.

- **Earlier off-financing channels are mostly closed as debt resolution continues.** Issuance of special refinancing bonds – this round's debt-swap instrument – proceeded at a steady RMB1.6trn in Jan–May, against RMB1.8trn in the same period last year. Beyond that, however, off-budget financing avenues show no signs of revival: Net LGFV bond financing remains in deep contraction, Public-Private Partnership (PPP) activity is subdued, and Government-Guided Funds are pivoting toward "new productive forces" like AI, rather than broad-based local investment (Sina, May 29th).

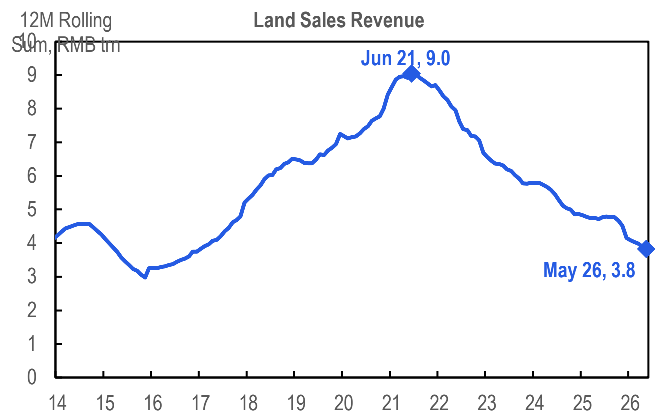
Figure 7. Revenue rebound has disproportionately benefited the central government

	Tax (Central: Local)	Revenue, 2025 (RMB trn)	Jan-May 26 (%YoY)
Shared	VAT (50:50)	6.9	6.2
	Corporate Income Tax (60:40)	4.1	0.2
	Personal Income Tax (60:40)	1.6	12.2
Central	VAT and CT for Imports	1.8	10.4
	Consumption Tax /1	1.7	-3.1
	Stamp Duty for Securities Trading	0.2	88.9
	Tariff	0.2	5.6
	Auto Purchase Tax	0.2	12.7
Mostly Local	Property Related Tax	1.8	-4.5
	Urban Maintenance Tax /2	0.5	3.8
	Other Stamp Duty	0.2	4.0

Reform Plans: 1/ Collection of CT to shift to sellers and adjust its coverage and rates; 2/ To be combined with two other fees and set up as Local Surcharge

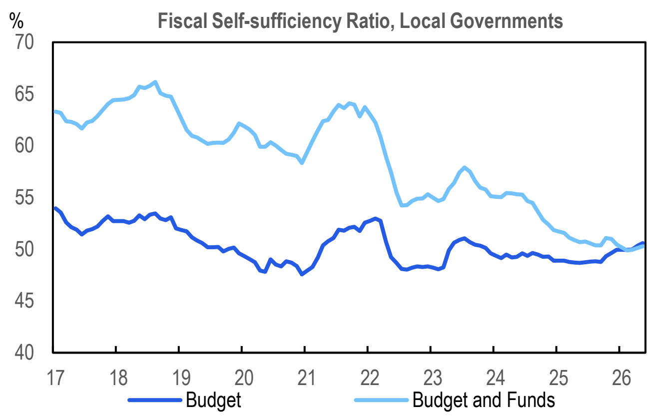
Source: MoF, Wind, Citi Research

Figure 8. Land sales amounted to only RMB3.8trn in the past 12 months, down from the peak of RMB9trn in 2021



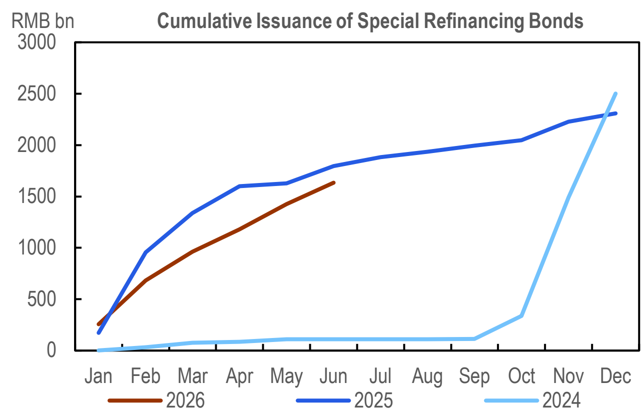
Source: MoF, Wind, Citi Research

Figure 9. Local government's fiscal self-sufficiency ratio stays depressed



Source: MoF, Wind, Citi Research

Figure 10. Debt resolution is steady on track, while off-budget financing channels are mostly closed



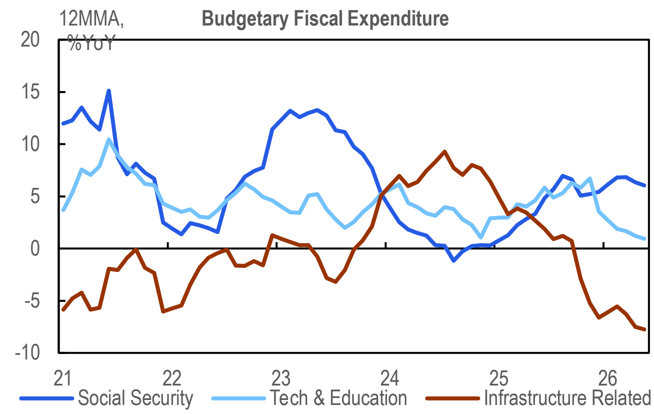
Source: Wind, Citi Research

Willingness to Stimulate

Prudence under tight budgets captures local government's willingness to spend. A clear pecking order appears to have emerged in expenditure priorities, with **social security > tech & education > infrastructure**, broadly consistent with signals from the central government (e.g., see Finance Minister's comments in Nov 2024, MoF). In Jan-May, budgetary social security spending rose 7.8%YoY, while spending on tech & education was nearly flat. Infrastructure spending – despite a 2.8%YoY increase in this year's budget – dropped -6.3%YoY, deepening the slump since mid-2025. Tighter scrutiny from the central government on projects, as reflected in recent audit reports, likely reinforces this caution.

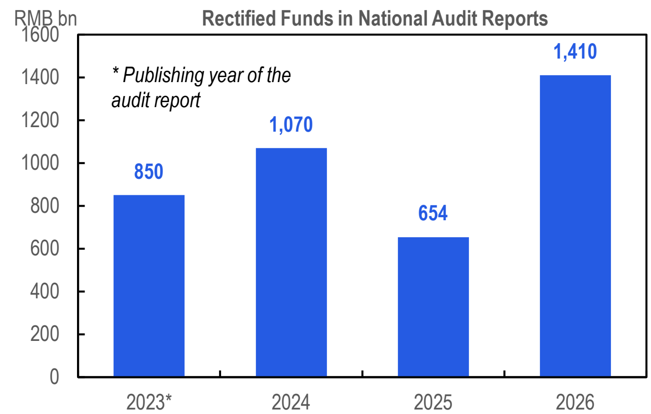
Competing official targets further dampen spending willingness. While GDP growth still matters, its perceived weight as a performance metric appears to be fading – based on both the trajectory of recent years and the downgraded national target this year. The ongoing campaign to *establish the correct view of political performance* (树立正确的政绩观) could add further considerations ahead of the 21st Party Congress next year. Local officials need to navigate a range of binding constraints – debt management, financial stability (especially small banks), production safety, and social stability. Stimulating local growth the old way is, in our view, unlikely to be a top priority.

Figure 11. Expenditure seemingly follows a pecking order of social security > tech & education > infrastructure



Source: MoF, Wind, Citi Research

Figure 12. Tighter scrutiny from the central government could reinforce this prudence



Source: NAO, Citi Research

What to Expect Ahead?

Fiscal deployment looks set to accelerate in 26H2E (see: 26H2 Outlook: AI Supercycle Cuts into the K-shaped Economy). This includes **[1]** an increased pace of special bonds issuance, **[2]** faster fund deployment, and **[3]** more effective usage of the RMB800bn policy-financing tool. Implementation acceleration should lead to a natural reversal of the austerity seen in 26H1. Targeted measures such as the "Six Networks" initiative are underway, enabling AI transition and stabilizing investment. Growth could thus stage a mild rebound, aided by a low base from 25H2 and the fading impact from the Middle East conflict.

A mid-year budget revision is *not* our base case with limited urgency for broad-based stimulus. A 2024-style pivot seems unlikely to us, as GDP growth could still reach the lower end of the 4.5-5.0% target range despite the 26Q2 slowdown. Further, fiscal stress is primarily a local issue, and market sentiment appears more stable now than in 2024. While a 2023-style revision prompted by extreme weather events and super El Nino over the summer – the MoF then issued an additional RMB1trn of CGB for disaster relief (MoF, Oct 24th, 2023) – cannot be fully ruled out, the fiscal context is different. This year's deficit is already set at 4% of GDP, offering less headroom than in 2023, when the initial target was 3% before being raised to 3.8%.

Fiscal reform is a key theme to watch for 2027 and beyond, with two primary areas of focus:

- **Rebalancing** the fiscal relationship between central and local governments has become a high-priority issue post the real-estate era. Policymakers have already signaled reforms to the consumption tax and a consolidation of local surcharges. While follow-up measures could be announced as soon as this year, the full reallocation of the estimated RMB2trn in revenue will likely take years to complete.

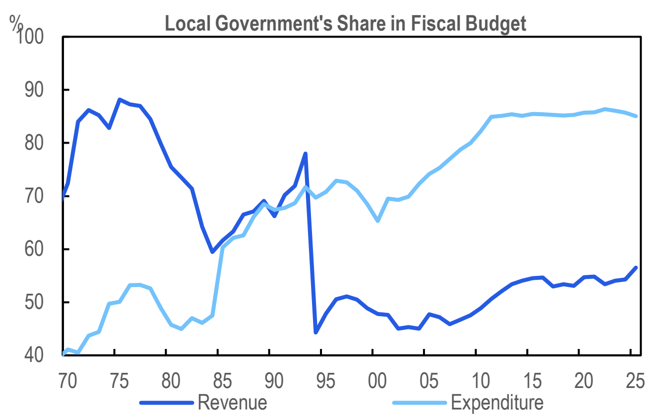
- **Redistributing** the gains from AI is also a rising fiscal imperative. The AI-led new economy is now front and center in China's K-shaped economy, widening the divergence and creating an overhang on Chinese consumers with increasing job displacement risks amid rapid adoption. We have previously highlighted **[1] direct wage support** and **[2] targeted AI taxes** as two potentially plausible solutions to this growing challenge. Both could gain traction in policy discussions as fiscal reforms deepen in the years to come.

Figure 13. A mid-year budget revision is not our base case with limited urgency for broad-based stimulus

	26Q2	24Q3
Quarterly GDP Growth	4.5 (Citi F)	4.6
Cumulative Growth	4.7 vs. 4.5~5.0% Target	4.8 vs. ~5% Target
Inflation	PPI ~4%, CPI ~1%	PPI ~-2.5%, CPI ~0
Fiscal Revenue	4% revenue growth vs. 2.2% budgeted	~RMB1.4trn shortfall
Local Government Debt	Debt swap mostly done	Rising LGFV debt risk
Equity Market	SHCOMP ~4,000	SHCOMP ~2,700

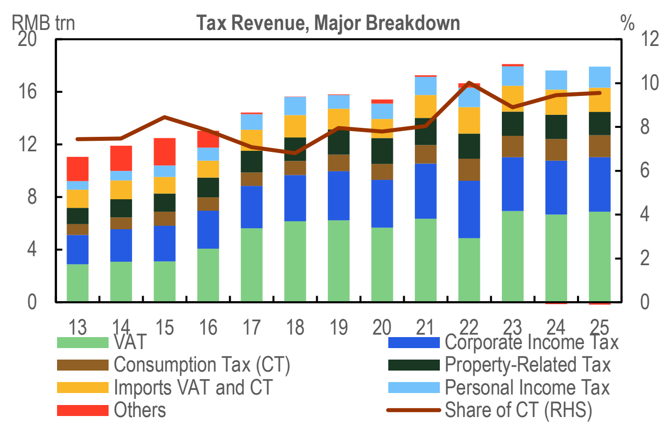
Source: MoF, NBS, Wind, Citi Research

Figure 14. Rebalancing the central-local fiscal relationship has become a high-priority issue



Source: MoF, Wind, Citi Research

Figure 15. Consumption tax reform is in the pipeline, and some steps could follow later this year



Source: MoF, Wind, Citi Research

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